

Legal Counsel Update: July 30, 2026

10:00 a.m. - Board of Commissioners Conference Room

Attending: Commissioners Ron Smith, Colene Martin and Gary Richardson; Wally Hicks, Legal Counsel; Nikole Guzman, Recorder

Legal Counsel Update

1. Declaration of Potential Conflicts of Interest

Commissioner Richardson disclosed that his sister may previously have worked for an entity associated with the buyer's agent for the Dimmick Campus property. After confirming that he did not expect any financial or other benefit from the matter, Commissioner Richardson did not declare a conflict of interest. Commissioners Martin and Smith declared no potential conflicts of interest.

2. 4H Building Fund Reserves

Wally Hicks, County Legal Counsel, provided a follow-up regarding the Josephine County 4-H/Extension Service District Building Reserve Fund. The reserve had been authorized for a ten-year period that expired on June 30, 2026. Legal Counsel explained that the Governing Body had discretion to establish a new building reserve, create another type of reserve, or allow the expired reserve to remain discontinued.

Upon expiration, the remaining money stayed within the 4-H/Extension Service District as unrestricted fund balance and could not be transferred to the County's general funds. Approximately \$44,000 had already been included in the adopted Fiscal Year 2026-2027 budget for furnishings and equipment at the District's new leased space at Rogue Community College. That expenditure could proceed through the normal approval process without reestablishing the reserve.

The Board discussed whether the District should continue accumulating funds for a future County-owned Extension facility. Commissioners noted that the prior facility had required substantial maintenance and that leased space could provide flexibility without leaving the County responsible for major repairs, replacement, or end-of-life building costs. Legal Counsel advised that the current fiscal-year budget and tax rate would remain valid; however, the District would need to reevaluate its future tax needs during the next budget cycle if it no longer intended to accumulate capital funds.

By consensus, the Board allowed the Building Reserve Fund to remain expired and agreed to revisit the need for a new reserve during the next budget process after Extension had operated in its new location for a year. No formal action was taken.

3. Community Development Block Grant (CDBG) Housing Rehabilitation Grant Contract 2024 - #H24007 - Approval of Conflict of Interest and Amendment #1

Legal Counsel reported that Business Oregon had approved the County's requested conflict-of-interest exception involving Home Bridging GP. The exception applied to both the existing grant cycle and the pending 2025 grant cycle. Amendment #1 to the 2024 grant contract was needed to redirect approximately \$14,000 that had become available after the regional program administrator determined that the money was not required for its original purpose.

Commissioner Martin made a motion to approve Community Development Block Grant (CDBG) Housing Rehabilitation Grant Contract 2024 - #H24007, including the approved conflict-of-interest exception and Amendment #1. The motion was seconded by Commissioner Richardson. Upon roll call: Commissioner Richardson - yes; Commissioner Martin - yes; Commissioner Smith - yes. Motion carried 3-0.

4. Amendment #1 to the Subrecipient Agreement between Josephine County and Home Bridging for the 2024 Housing Repair and Rehabilitation Program

Legal Counsel explained that, following approval of Amendment #1 to the State grant contract, the corresponding Subrecipient Agreement with Home Bridging also required amendment so the vendor agreement would remain consistent with the County's amended grant obligations.

Commissioner Martin made a motion to approve Amendment #1 to the Subrecipient Agreement between Josephine County and Home Bridging for the 2024 Housing Repair and Rehabilitation Program. The motion was seconded by Commissioner Richardson. Upon roll call: Commissioner Richardson - yes; Commissioner Martin - yes; Commissioner Smith - yes. Motion carried 3-0.

5. (For 8/5 WBS) Community Development Block Grant (CDBG) Housing Rehabilitation Grant Contract 2025 - #H25012 - Approval of Conflict of Interest and Contract

Wally Hicks, County Legal Counsel, and Helene Lulich, Property Manager, presented an update regarding the new housing rehabilitation grant. The program would continue assisting qualifying low-income homeowners with essential repairs, with an emphasis on roofs, septic systems, wells, and related health or safety work. Ms. Lulich reported that more than 40 residents had already expressed interest and would receive application information once the agreements were approved.

Home Bridging had assisted with the grant application and was identified as the proposed subrecipient in the application submitted to the State. Legal Counsel explained that the State must approve a subrecipient before the County can proceed with the grant. The conflict-of-interest exception currently approved by Business Oregon would apply to this grant; however, the State advised that the County would need to request a new exception if Chad Hanson were elected to the Board of County Commissioners because his status would materially change.

The Board directed that the grant contract be placed on the August 5, 2026 Weekly Business Session agenda so the public would have an opportunity to hear the presentation and comment. Ms. Lulich and a representative of Home Bridging were asked to attend and answer detailed program questions. No formal action was taken.

6. (For 8/5 WBS) Subrecipient Agreement between Josephine County and Home Bridging for the 2025 Housing Repair and Rehabilitation Program

The Board discussed the proposed 2025 Subrecipient Agreement together with the grant contract. Home Bridging would receive applications and administer the homeowner selection and rehabilitation process, while Josephine County would remain ultimately responsible for compliance with the grant requirements. Staff reported that Property Management reviewed the selected properties and applications and that Finance reviewed supporting financial records before reimbursement requests were submitted.

Commissioners questioned whether the County had a standardized, ongoing audit process for all outside subrecipients receiving pass-through grant funds. Staff stated that the existing program included State review and County oversight, but the County did not currently have a single general audit procedure applicable to every outside subrecipient. The Board identified that issue for future policy consideration. Staff also confirmed that the County did not receive an administrative fee for the time spent overseeing this program.

The Board directed that the Subrecipient Agreement be placed on the August 5, 2026 Weekly Business Session agenda with the related grant contract. No formal action was taken.

7. Personnel Policy, Article 9, Section 5 - Artificial Intelligence - Chatbots

Wally Hicks, County Legal Counsel, and Ken Clever, Information Technology Director, presented proposed revisions to the County's artificial-intelligence policy. Legal Counsel recommended maintaining a written policy so the County could use emerging technology responsibly while remaining current with modern workplace practices. The policy would need to function as a living document and return for review as artificial-intelligence tools and legal requirements continued to develop.

Mr. Clever explained that the existing policy was overly restrictive. The revised draft distinguished between simple, single-user tools and applications that were shared, required authentication, accessed County systems, or handled protected information. Multi-user or secured tools would require Information Technology review. Employees using personal artificial-intelligence accounts for County business would remain subject to County security, confidentiality, records, and acceptable-use requirements.

Discussion focused on protecting confidential and regulated data, including information subject to HIPAA, criminal-justice security requirements, and other State or federal restrictions. Mr. Clever stated that employees may not always understand where information submitted to a cloud-based service is stored or reused. The County could reduce that risk by using approved licenses or, where appropriate, developing an internally hosted artificial-intelligence environment that kept protected data within County-controlled systems.

Information Technology had begun issuing Claude and Microsoft artificial-intelligence licenses to employees. Mr. Clever reported substantial efficiency gains from employees using the tools to create workflow applications, improve documents, develop policies and procedures, and assist with emergency-planning materials. Current token usage cost approximately \$1,000 per month, which he believed was outweighed by the staff time being saved.

Commissioners found a proposed requirement to identify every internal use of artificial intelligence unnecessarily restrictive, particularly for routine grammar, editing, and drafting assistance. The Board supported a more limited approach for public-facing content and discussed distinguishing legitimate image cleanup and graphic-design work from the creation of deceptive images, fabricated people or places, videos presented as real, or altered official records.

Mr. Clever agreed to revise the draft and present it at the next managers' meeting so department heads could ask questions and provide operational feedback. The Board also supported employee education and training concerning appropriate uses, data security, and available productivity tools. The revised policy will return to the Board for consideration. No formal action was taken.

Chair Ron Smith called for Executive Session at 10:40 a.m. The Chair clarified that the only Executive Session matter was County real property known as the Dimmick Campus under ORS 192.660(2)(e). Recording devices were turned off at 10:43 a.m.

Additional Attendees: Helene Lulich, Property Manager; Matt Eide, Finance Director; and Chris Bristol, Daily Courier.

8. Executive Session

a. County Real Property known as Dimmick Campus - ORS 192.660(2)(e)

Executive Session adjourned, and the Board reconvened in Open Session at 11:06 a.m.

Legal Counsel Update Continued

9. County Real Property known as Dimmick Campus

Chair Smith clarified for the record that the Executive Session discussion concerned only County real property known as the Dimmick Campus. Without objection, the Board authorized the Property Manager and Legal Counsel to prepare and provide Addendum No. 3 to the prospective purchaser, extending the due-diligence period under the Dimmick Campus purchase and sale agreements by 60 days.

10. Additional Subjects/Matters from Commissioners - ORS 192.640(1)

Commissioner Richardson reminded the public that the Josephine County Fair livestock auction would be held Friday, July 31, 2026, and encouraged residents interested in supporting local youth to attend and purchase livestock.

Commissioner Martin acknowledged public concern that too many matters were being decided outside the Weekly Business Session. She stated that the Board would be more intentional about placing matters of public interest on the Weekly Business Session agenda when practical, while recognizing that some matters must be addressed promptly because they are time-sensitive or involve legal issues.

Chair Smith reminded the public that fire season was continuing, praised the response to the East Evans Creek Fire, and urged residents to remain cautious with potential ignition sources.

Meeting adjourned at 11:09 a.m.